

Table 14.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	The highest high in the pattern is the target. The bottom portion of the table shows how often the measure rule works. See text.
Wait for confirmation	Waiting for an upward breakout improves investment performance. The close should be above the down-sloping trendline before you buy the stock.
Sell at old high	When price rises to the old high, consider selling if the stock shows weakness.

Description	Bull Market	Bear Market
Pattern top	76%	64%
Percentage reaching half height target	57%	32%
Percentage reaching full height target	46%	17%
Percentage reaching 2× height	31%	7%
Percentage reaching 3× height	22%	4%

The highest high is the measure rule target, and price reaches the high 64% to 76% of the time. The lower portion of the table shows this (“Pattern top”). The remainder of the table shows how often price reaches a multiple of the height, from 0.5 to 3 times the pattern's height.

For example, in bull markets, price will reach the full height target (the pattern's height added to the top of the pattern) 46% of the time. Notice that I use the top of the pattern and not the breakout price in the computation.

As a sanity check, compute the rise to the target from the current price. Let's say it's \$10 in a stock trading at 60. The height represents a 17% rise (10/60). [Table 14.3](#) says that 25% of BARR bottoms will fail to see price rise at least 15% (the closes to 17%) in bull markets. That leaves 75% as winners, which is reasonable.

Wait for confirmation. Confirmation happens when price closes above the trendline formed during the lead-in phase. Should the price close above the